

Enterprise Resource Planning Software Licence and Support Agreement

Contract No. DC-2025-0088 | Effective Date: January 1, 2025

Vendor: DataCore Systems Inc. (India Branch), Prestige Tech Park, Bengaluru 560087

Client: Horizon Manufacturing Ltd., MIDC Industrial Area, Pune 411019

Contract Value: INR 2,20,00,000 (perpetual licence) + INR 44,00,000 p.a. AMC

Term: Perpetual licence; AMC renewable annually

1. Licence Grant

1.1 DataCore grants Horizon a non-exclusive, perpetual, non-transferable licence to use the DataCore ERP Suite v7.2 for internal operations at licensed sites.

1.2 The licence covers up to 150 named users. Additional users shall be licensed at INR 85,000 per user.

2. Annual Maintenance Contract (AMC)

2.1 The AMC covers bug fixes, security patches, regulatory updates, and access to minor version upgrades (e.g. v7.2 to v7.3).

2.2 Major version upgrades (e.g. v7.x to v8.x) are not included in the AMC and shall be licensed separately.

2.3 DataCore reserves the right to end support for any version with 12 months written notice, after which continued use of the unsupported version shall be at Horizon's sole risk.

Clause 2.3 — Forced upgrade risk: DataCore can end-of-life any version with 12 months notice. This may force Horizon into a costly major version upgrade (which is not included in AMC) or expose the company to unsupported, potentially insecure software.

3. AMC Pricing

3.1 The AMC fee is fixed at 20% of the prevailing list price of the licensed software, recalculated annually.

3.2 DataCore may revise the list price of the software annually by up to 15%.

Clause 3.1 + 3.2 — AMC cost escalation: AMC is calculated as 20% of list price, which itself can increase 15% per year. This means AMC costs can compound significantly — potentially increasing by

15% p.a. with no cap on cumulative increases over the licence lifetime.

4. Implementation and Go-Live

4.1 DataCore commits to complete implementation and go-live within 6 months of the Effective Date.

4.2 Delays caused by Horizon's failure to provide timely resources, data, or decisions shall extend the implementation timeline accordingly.

4.3 DataCore shall provide a project manager and 4 functional consultants for the implementation phase.

5. Data Migration

5.1 DataCore shall migrate data from Horizon's existing systems as specified in the Data Migration Plan (Annexure B).

5.2 Horizon is responsible for data cleansing and validation prior to migration.

5.3 DataCore warrants data integrity post-migration for 30 days. Any data issues reported after 30 days shall be treated as change requests and billed separately.

Clause 5.3 — Data migration warranty risk: 30-day warranty window for data integrity is very short for an ERP implementation where data issues may only surface during month-end processes or regulatory reporting.

6. Limitation of Liability

6.1 DataCore's liability for any claim under this Agreement shall not exceed the total AMC fees paid in the 12 months prior to the claim.

6.2 In no event shall DataCore be liable for loss of business, loss of profits, or interruption of operations.

Clause 6.1 — Liability cap risk: for a critical ERP system, limiting liability to one year's AMC (INR 44,00,000) is inadequate given the potential business impact of system failure, data loss, or a failed implementation.

7. Termination and Exit

7.1 The perpetual licence cannot be terminated by DataCore except in the event of material breach by Horizon.

7.2 The AMC may be terminated by either party with 90 days notice prior to each annual renewal.

7.3 Upon termination of the AMC, Horizon retains the perpetual licence but will no longer receive updates, patches, or support.

